Sources: Reuters (via Business Recorder), ABC News
Wednesday 11 November 2026

Markets bet the RBA is done, and the dollar steadies

> The Australian dollar held at about **US69.2c** on Tuesday, recovering part of last week's slide. After weak consumer and business surveys, swap markets now put an **82% chance** on the RBA's cash rate having peaked.

WHAT HAPPENED

- The AUD traded around **69.2 US cents**, after a **2.5% fall** last week. Traders see support near June's low of 0.6867.
- Swaps imply an **82% probability** that rates have peaked at **4.85%**, with a quarter-point cut fully priced by the end of 2027.
- The **10-year bond yield** fell to about **4.99%**, its lowest since late August.
- Iron ore was steady at about **US$93/tonne**. Cheaper oil also helped a global rally in riskier assets.

Depreciation: a fall in the AUD's value against another currency
Interest rate differential: the gap between Australian and overseas interest rates
Swap pricing: what financial markets expect rates to do

KEY NUMBERS

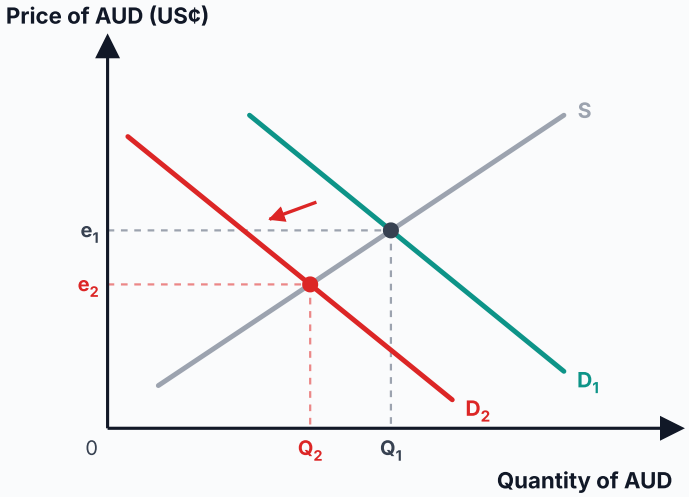
69.2¢
AUD in US cents, Tuesday

−2.5%
AUD fall over the previous week

82%
Market chance rates have peaked

4.99%
10-year bond yield, lowest since late Aug

DIAGRAM **Expected rate cuts weaken demand for the AUD**



Foreign investors buy AUD to invest in Australian assets. When they expect **no more rate rises** (and eventual cuts), Australian assets look less attractive relative to overseas ones.

Demand for AUD falls from **D_1 to D_2** and the exchange rate falls from **e_1 to e_2**: a **depreciation**.

Expectations alone can move the dollar before the RBA changes anything.

Exam angle: a lower AUD makes exports more competitive but raises import prices (e.g. fuel), adding to inflation. It also increases the AUD value of foreign-currency debt.

FLOW CHART **From weak surveys to a weaker dollar**

Sentiment and business surveys slump → Markets expect RBA to stop hiking → Smaller interest rate differential expected → Lower demand for AUD assets → **AUD weaker / rally capped**

SYLLABUS LINK

Topic 2 – exchange rate determination; financial flows and interest rate differentials; terms of trade. Topic 4 – monetary policy and the exchange rate.

TRY THIS

Explain how a change in expected interest rates can affect the value of the Australian dollar.
(3 MARKS)

Business Recorder (Reuters) – Aussie steadies as oil-fuelled risk rally offsets weak domestic surveys: https://www.brecorder.com/news/40448242/aussie-steadies-as-oil-fuelled-risk-rally-offsets-weak-domestic-surveys
ABC News – Markets live blog, 10 Nov 2026: https://www.abc.net.au/news/2026-11-10/asx-markets-business-live-news-november-10-2026/107363300

Diagrams are illustrative, not to scale